UGANDA ADVANCED CERTIFICATE OF EDUCATION
S.5 ECONOMICS ITEMS

ITEM ONE

In Uganda, the manufacturing sector is rapidly growing, contributing significantly to economic development and employment. A certain company, which is a leading producer of ceramic tiles used in construction industry, over the past five years the company has experienced significant growth in its production capacity and supply to both the local market and international market. Meanwhile, the ministry of trade and industry is conducting research to better understand the factors that influence supply for locally produced goods like tiles. Moreover, policymakers want to ensure that production meets both local and regional supply and that prices remain stable for the consumer.

Tasks:
(a) As an economist, identify and explain factors that influence supply of commodities including ceramic tiles.

(b) Discuss any five factors that can cause a decline in supply of ceramic tiles for the company mentioned above.

ITEM TWO

In a free market economy, prices play a central role in determining how resources are allocated. There is always a tendency where prices rise and fall as a result of interplay of market forces of demand and supply, signalling producers and consumers on how to adjust their decisions. However, in real economies like Uganda, interplay of market forces of demand and supply may not always work perfectly, which sometimes forces the government to intervene through price controls either to protect consumers or producers.

Tasks:
(a) Explain the role of price mechanism in allocation of resources in an economy.
(b) Discuss any four limitations of the above system in allocation of resources.
(c) Examine the benefits and drawbacks of adopting price controls in an economy.

ITEM THREE
In developing countries like Uganda, consumers are highly sensitive to changes in the prices of essential goods and services, especially in sectors like food, beverages, and transport. In Kampala, a local company produces popular natural fruit juice sold in supermarkets and kiosks at **UGX 5,000 per bottle**. Due to rising production costs, the company increases the price to **UGX 6,000 per bottle**. As a result, their monthly sales decreased from **10,000 bottles to 6,000 bottles** in just one month. Understanding **price elasticity of demand** helps businesses and policymakers predict how price changes affect consumer demand and overall sales revenue.

Tasks:
(a) Based on the scenario, help the local factory calculate the **price elasticity of demand** for the natural juice.
(b) Explain whether the demand for natural juice is **price elastic** or **inelastic**, providing reasons for your answer.
(c) Explain the factors that cause **instabilities in demand** for commodities in an economy.

ITEM FOUR

In many developing countries, including Uganda, agriculture is the backbone of the economy, employing a large percentage of the population. However, agricultural markets often experience frequent **price fluctuations**, especially for cash crops like **coffee, maize, and beans**. Farmers who grow these crops have faced **highly unstable prices** in recent years. In some seasons, **bumper harvests** result in **excess supply**, causing prices to **drop sharply**. In other seasons, **low harvests** cause **supply shortages**, leading to **skyrocketing prices** that many consumers cannot afford.

Tasks:

(a) Explain the **causes of instabilities in prices** of agricultural products in developing countries.

(b) The government is exploring measures to stabilize agricultural prices. As an economist, **suggest remedies** that should be taken by the government to **reduce price fluctuations** of agricultural products.